

UNIT : 03

Risk Management, Insurance and Tax Basics# Risk

Risk is the possibility of financial loss due to uncertain events or uncertainty about future events. It represents a situation where the outcome is unknown and may result in adverse consequences.

In financial terms risk means the chance that the actual results will differ from the expected results and may lead to loss of income, capital or assets.

Some examples of risks are:

- A person may meet with an accident
- A shop may catch fire.
- The value of investment in share market may fall.

Types Of Risks

Risk can be classified into following categories.

1. Pure Risk: Pure risk refers to a situation where is only the possibility of loss (or no loss) but no possibility of profit. It is accidental and beyond the control of an individual.

Pure risks are insurable because they involve measurable financial loss. Insurance covers pure risk.

Some examples of pure risks are fire, accident, illness, theft or death.

2. Speculated Risk : It refers to a situation where there is a possibility of profit, loss or no change. These risks arise due to deliberate business and investment decisions.

Some examples of speculative risks are investment in shares, starting a business, investing in crypto currency etc.

Speculative risks are generally not insurable. Insurance does not cover speculative risk.

3. Fundamental Risk : It affects a large number of people or the entire economy. It is caused by natural, social or political events.

Some examples of fundamental risks are earthquake, flood, pandemic, war etc.

4. Particular Risk : It affects individuals rather than the whole society.

Examples of particular risks are theft of personal car/vehicle, accident or specific medical condition.

Risk MANAGEMENT :

Risk management is a systematic process of identifying, analysing, evaluating and controlling risks to minimize financial loss and protect the assets. It involves recognizing potential risks, measuring their impact and taking steps to reduce them.

Risk Management ensures financial stability for individuals and business. It ensures that the potential losses are reduced to an acceptable level.

Risk Management process involves following steps :

- Risk Identification : It involves identifying the possible risks such as illness, accident or death.
- Risk Assessment : It involves estimating how certain or serious the risk is.
- Risk control : It involves following strategies
 1. Risk avoidance
 2. Risk reduction (wearing helmet, installing CCTV etc).
 3. Risk transfer (buy insurance)
- Risk financing : It involves arranging money to cover the financial losses arising due to risk.
example : building emergency fund.

INSURANCE

Insurance is a legal contract between insurer (insurance company) and the insured (policy holder) under which the insurer agrees to compensate the insured for financial loss arising from specified risk in exchange for a premium.

It is a mechanism of risk transfer where the financial burden of loss is shifted from an individual to the insurance company.

Types OF INSURANCE :

1. Life Insurance : Life insurance provides financial protection to the family if the insured person dies. Life insurance is a contract in which the insurer agrees to pay a pre determined sum to the nominee upon the death of the insured, or after completion of the policy term in return of premium payments. It provides financial protection to the dependents of a person. Life insurance is further classified into two categories :

I. Term Insurance : It is a type of life insurance that provides pure risk coverage for specific period without any savings or investment component, if the insured dies during the policy term, the insurer pays the sum assured if the insured survives no maturity benefit is claimed.

Features of term insurance:

- low premium.
- No maturity ~~benefit~~ benefit.
- high coverage amount.

For example: A 30 year old individual buys Rs 1 crore term plan for Rs 12000 per year and policy term 10 years. If he dies during the policy term his family gets Rs 1 crore. If he survives no money is returned.

Life insurance is suitable for:

- young earning individuals or people with dependents.

II. Ulip (Unit linked Insurance Plan):

Ulip is a life insurance policy that combines insurance coverage with investment. In ulip a portion of premium is used for life cover and the remaining is invested in market linked instruments such as equity or debt funds. The returns depend on market performance.

The premium is divided into insurance cover and investment in market.

Features of ULIP:

- Market linked returns.
- Higher premium charges.
- Shorter lock-in period (usually 5 years).

For example: A person pays Rs 1,00,000 per year in ULIP a part of the premium goes to life cover and the remaining is invested in mutual funds. The returns depend on stock market performance.

2. Health Insurance: It is a contract in which the insurer agrees to cover medical and hospitalization expenses of the insured in exchange for premium payments. It protects individuals from financial hardships due to rising medical costs. Health insurance covers the medical expenses of the individual. It further provides following coverages:
- Hospitalization expenses
 - Surgery charges
 - ICU charges (Intensive Care Unit)
 - Medicine expenses etc.

For example: If a person buys Rs 5,00,000 health insurance and the hospital bill is Rs 3,00,000 the insurance company pays Rs 3,00,000 as per the policy terms.

Following are different types of health insurance plans:

- 1. Individual plan: It provides health insurance to a single person.
- 2. Family Floater plan: It provides insurance coverage to all members of family.

III. Senior citizen Plan: It provides health insurance to senior citizens.

IV. Critical illness plan: It provides insurance for specific medical condition or disease.

UNIT 04Basis of Investing:# Investment

Allocation of financial assets like gold, real estate.

Why Investment?

- For wealth creation.
- In order to meet inflation.
- for financial security.
- to achieve financial goals.

Inflation and its impact on returns.

general increase in price level of commodities over a period of time.

When? :

- demand is more and supply is less.
- cost of input (raw material) increases.
- Increase in money supply.

Impact :

- Reduction in purchasing power.
- reduction in real returns.
- influence of investment decision.

Measures to beat inflation :

- To invest in higher return assets.
- diversify your portfolio.

Stock Market

Stock market is a place where exchange of shares takes place.

Functions of stock market:

- raising capital.
- creating liquidity.
- price discovery of shares.
- providing investment opportunities.

SEBI (Security Exchange Board of India) manages stock market.

Risk and return:

Types of risk:

- Market Risk: Fluctuation in price due to market.
- Credit Risk: (Default Risk) If money invested is not returned.
- Liquidity Risk: easy liquification is not possible.
- Inflation Risk: deduction in profits due to inflation.

Returns: profit earned on investment.

* Risk return relationship:

Risk $\uparrow$ $\rightarrow$ possibility of return $\uparrow$

Diversification:

Investing in different assets to reduce the possibility of negative returns.

* Mutual Funds and their types :

- Mutual Fund is ~~the~~ company that takes money from multiple investors and then invest that money somewhere else like share market.

Types :

1. Equity Funds (invest in share market).
2. Debt Funds (invest in bonds)
3. Hybrid Funds.
4. Index Funds (collection of different ^{top} companies is index)

* Mutual Funds fact sheet and its components

Components :

1. NAV (Net Asset Value)
2. Expense Ratio (cost of managing mutual fund)
3. Returns
4. Portfolio Allocation

Financial Planning, Behavioural Finance and Practical Tools.

Financial Planning

Process of Managing your expenses income, savings and investments to achieve your financial goals.

Steps in Financial Planning

- Assess your current financial situation.
- Set your financial goals.
- Create budget and allocate income
- Build emergency fund. which is 3 to 6 months of your monthly expenses.
- Invest your savings.
- Monitor and review your financial plans.

Retirement Planning

Retirement Planning is the process of accumulating sufficient financial resources during one's working years to ensure a steady income and financial independence after retirement.

Different Tools for retirement Planning

1. EPF (Employee Provident Fund): It is a retirement saving scheme for salaried employees where both the employer and the employee contribute regularly to build a retirement fund.
2. PPF (Public Provident Fund): It is govt. backed long term saving scheme where individuals can invest in order to get build a retirement fund.

2. NPS (National Pension Scheme): It is also govt. backed retirement scheme which offers higher returns than PPF scheme. Here the NPS fund is invested in equity market also.

Behavioural Finance:

It is the study of behaviour and psychology of the investors in order to explain various unexpected and irregular market movements.

Behavioural Biases in Finance

1. Overconfidence Bias:
2. Herd Behaviour Bias
3. Loss Aversion.
4. Anchoring Bias (stuck on a value, made a benchmark).

Financial Fraud and Cyber Security:

Type of Financial Fraud:

1. Phishing: fake emails or website is created and personal details are collected.
2. Smishing: fraud through sms and apk files.
3. Vishing: fraud through phone calls.
4. UPI fraud: fake payment requests.
5. Identity Theft: using someone's personal details illegally.

6. OTP fraud : OTP asked and given.

7. Investment scam.

Cyber Security Measures :

- Don't share ~~or~~ OTPs and PINs.
- Don't share your personal details.
- Verify emails.

Different financial apps for investors.

1. Kite : Trading app for buying and selling shares.

2. Coin : mutual fund investment platform.

3. ET Money : used to track investments and expenses.
{ Economic Times }.